

you in case you have a serious accident or illness and guarantee that you don't bankrupt yourself or your family if you are beset with major medical problems. For that reason, health insurance should be your number one financial priority.

If you work for a company that offers employees health insurance, you're lucky; participating in your employer's group plan will almost always cost you much less than buying a policy on your own. You may be given more than one type of plan to choose from through your employer; make sure you consider not only the price but also the extent of the coverage you will receive. If, for example, you're thinking about joining a type of plan called a **health maintenance organization (HMO)**, inquire about exactly what is covered, ask about the procedure for seeing specialists, and find out what happens if you want to visit a doctor who doesn't participate in the plan. Before you sign up for any plan, talk to coworkers about their experiences with the various options.

If the company you work for does not offer health insurance, you'll have to pay for it yourself. If you recently graduated from college, see if you can extend coverage from your parents' plan for a few years. (Some states will let you stay on your parents' insurance until you turn 26; New Jersey is the only state that will give you until age 30.) If not, see if there are any organizations you can join—a trade association, for example—that will allow you to purchase health insurance at a group rate. If you're job hunting, at the very least get so-called “temporary” coverage that will protect you from true medical disasters. If all else fails, you'll probably need to purchase a policy on your own. Go online to compare prices for individual policies—either temporary coverage or longer term—from sites like eHealthInsurance (www.ehealthinsurance.com) and NetQuote (www.netquote.com), as well as your local Blue Cross/Blue Shield company (www.bluecares.com).

For additional tips on purchasing all types of insurance, see Chapter 8.

2. Pay off your debt the smart way.

More often than not, the smartest financial move you can make is to take any savings you have (above and beyond money you need for essentials like rent, food, and health insurance) and pay off your high-rate loans. The reason is simple: You can “earn” more by paying off a loan than you can by